

Handout 2.19: Paper Ledger

Name: _____ Period: _____ Investor number: _____ Start date: _____

This is your ledger for the Gilded Age Market. It is the whole game. The teacher is the market: every round, the year and the prices go on the board, you write them in the price table, you work out what you hold, you hear the news, and then you trade on paper. Your ledger is your proof. The Investor Report is written from it, and the leaderboard is built from it, by investor number, never by name.

The prices on the board are simplified and rounded so the arithmetic works. The direction of every move is what really happened.

The rules.

- You start in 1870 (Round 0) with \$1,000 cash and no shares.
- Whole shares only. Cash may never go below zero.
- A buy: cash goes down by shares times price. Shares go up.
- A sell: cash goes up by shares times price. Shares go down. You cannot sell shares you do not hold.
- The bank: you may move cash into or out of BANK during any round. At the start of Rounds 1 to 8 the bank pays 3 percent of whatever is in it, rounded to the nearest dollar. It never falls. It does not pay at the closing bell.
- Every trade, and every move into or out of the bank, goes in the trade log, in order, the moment you make it.
- Every round, fill that round's holdings table: shares times price for each company, plus cash, plus bank, minus any margin loan, equals your total.
- The margin line opens in Round 6 only. The broker lends you up to the cash you hold, at Round 6 prices. In Round 7 the broker wants it back in cash. If you do not have the cash, you sell shares at Round 7 prices until you do. If your shares are not enough, the loan takes everything and your total is \$0.
- Your trading partner initials one line of every holdings table.

Page 1. Section A: the price table (fill in one column per round, from the board)

Write “not yet” where a company is not on the board. BANK is not a share price; it pays 3 percent of the balance at the start of Rounds 1 to 8.

Comp any	Roun d 0, 1870	Roun d 1, 1873	Roun d 2, 1882	Roun d 3, 1893	Roun d 4, 1901	Roun d 5, 1911	Roun d 6, 1928	Roun d 7, Oct 1929	Roun d 8, 1932	Close, 1936
RAIL, Penns ylvani a Railro ad										
OIL, Stand ard Oil										
GAS, Manh attan Gas Light, later Conso lidate d Gas										
ELEC, Ediso n Electr ic Light, later Gener al Electr ic	not yet	not yet								
STEE L, Unite d States	not yet	not yet	not yet	not yet						

[illegible]



Section B: the trade log

One line per trade or bank move, in order. A bank move is written with BANK as the company and “in” or “out” in the buy or sell column. Ask for a second log sheet if you fill this one.

#	Round	Company	Buy or sell	Shares	Price	Shares x price = \$	Cash after
1							
2							
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							
13							
14							
15							
16							
17							
18							
19							
20							
21							



22							
23							
24							

Page 2. Section C: what I hold, round by round

Fill one table per round after the prices go up and again after you trade (cross out and rewrite; the trade log has the order). Value = shares x price. Total = all values + cash + bank, minus the margin loan if there is one. Bank interest is paid before you fill the table, from Round 1 on.

Round 0, 1870 (the market opens)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
Cash			
Bank			
Total			

Partner initials: _____

Round 1, 1873 (the Panic of 1873)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870 (total minus 1,000): _____ Partner initials: _____

Round 2, 1882 (the oil trust; ELEC joins)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			



ELEC			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870: ____ Partner initials: ____

Round 3, 1893 (the Panic of 1893)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870: ____ Partner initials: ____

Round 4, 1901 (US Steel; STEEL joins)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870: ____ Partner initials: ____



Page 3. Section C, continued

Round 5, 1911 (the breakup of Standard Oil; AUTO and RADIO join)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
AUTO			
RADIO			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870: _____ Partner initials: _____

Round 6, 1928 (the boom; the margin line opens)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
AUTO			
RADIO			
Cash			
Bank (after 3 percent)			
Margin loan (subtract; up to the			



cash I held)			
Total			

Gain or loss since 1870: _____ Partner initials: _____ Teacher initials on the margin loan: _____

Round 7, October 1929 (the crash; margin loans are called)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
AUTO			
RADIO			
Cash			
Bank (after 3 percent)			
Margin loan (must be 0 by the end of the round)			
Total			

Gain or loss since 1870: _____ Partner initials: _____

Round 8, 1932 (the bottom; the market freezes after this round)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
AUTO			



RADIO			
Cash			
Bank (after 3 percent)			
Total			

Gain or loss since 1870: _____ Partner initials: _____

Closing bell, 1936 (no trades; no interest)

Company	Shares	Price	Value
RAIL			
OIL			
GAS			
ELEC			
STEEL			
AUTO			
RADIO			
Cash			
Bank			
Closing total			

Partner initials: _____ Teacher initials: _____

Page 4. Section D: the margin line (Round 6 and Round 7 only)

Round 6, 1928. Cash I held before borrowing: \$_____ The broker lends up to that amount.

I borrowed: \$_____ (write it on the Round 6 margin loan line and in the trade log as “BANK / broker loan in”)

What I bought with it: _____ shares of _____ at \$_____ = \$_____

Round 7, October 1929. The margin call. The broker wants \$_____ back in cash, now.

Cash I have: \$_____ Cash I pay: \$_____ Still owed: \$_____

Shares I sell to pay the rest, at Round 7 prices (also in the trade log):

Company	Shares sold	Price	\$ raised	Still owed after

Loan after the call: \$0 / wiped out (the loan took everything; my Round 7 total is \$0). Circle one. Teacher initials: _____

Worked example. Investor 14 has \$200 cash in Round 6. She borrows \$200, the most allowed, and buys 4 RADIO at 100 for \$400. In Round 7, RADIO is 30, so her 4 shares are worth \$120. The broker wants \$200. She has no cash, so she sells the 4 RADIO for \$120 and still owes \$80. She sells 2 OIL at 50 for \$100, pays the \$80, and keeps \$20 cash. Her margin line goes to \$0.

Section E: my closing numbers (fill at the closing bell, Lesson 2.19 Day 1)

My starting total, 1870: \$1,000

My closing total, 1936: \$_____

Closing minus starting: _____ (write a minus sign if it is a loss)

Divided by starting: _____ divided by 1,000 = _____

Times 100: my percent return is _____ percent (circle: gain / loss)

My highest total in any round was \$_____ in Round _____ (year _____). My lowest was \$_____ in Round _____ (year _____).

Page 5. Section F: Round 2, the replay (Lessons 2.20 to 2.22)

Fresh \$1,000. Same rules. You know what is coming. The margin line is open in Block 1 on the Round 6 rule, and the broker calls the loan in Block 2.

Round 2 price table (from the board)

Company	Block 1, 1925	Block 2, Oct 1929	Block 3, 1932	Close, 1936
RAIL				
OIL				
GAS				
ELEC				
STEEL				
AUTO				
RADIO				
BANK	3 percent at the start of Blocks 2 and 3			no interest

Round 2 trade log

#	Block	Company	Buy or sell	Shares	Price	Shares x price = \$	Cash after
1							
2							
3							
4							
5							
6							
7							
8							
9							
10							



11							
12							

Round 2 holdings

Compa ny	Block 1, 1925: shares	Value	Block 2, 1929: shares	Value	Block 3, 1932: shares	Value	Close, 1936: shares	Value
RAIL								
OIL								
GAS								
ELEC								
STEEL								
AUTO								
RADIO								
Cash								
Bank								
Margin loan (subtra ct)								
Total								

My Round 2 closing total: \$_____ Percent return: (_____ minus 1,000) divided by 1,000, times 100 = _____ percent

Knowing the crash was coming, did I borrow in 1925? yes / no. Did I buy at the bottom in 1932? yes / no. One sentence on why:
